

Cooling inflation will keep the Fed on hold

- Inflation data came in softer than we expected on net. We lowered our June core PCE estimate to 0.175% from 0.271% m-o-m previously. We continue to expect core PCE has peaked and will edge lower in H2.
- Fedspeak was mixed this week, but largely reiterated the case for a near-term hold. Chair Warsh remained dovish in his Humphrey Hawkins testimony, focusing on the long-term disinflationary impact of AI. By contrast, hawkish policymakers, such as Logan and Schmid, continued to argue for a modest tightening.
- Growth remains resilient as retail sales data pointed to robust consumption, with the 3m average of real retail sales rising to its highest level since April 2025, despite headwinds from the Iran war.

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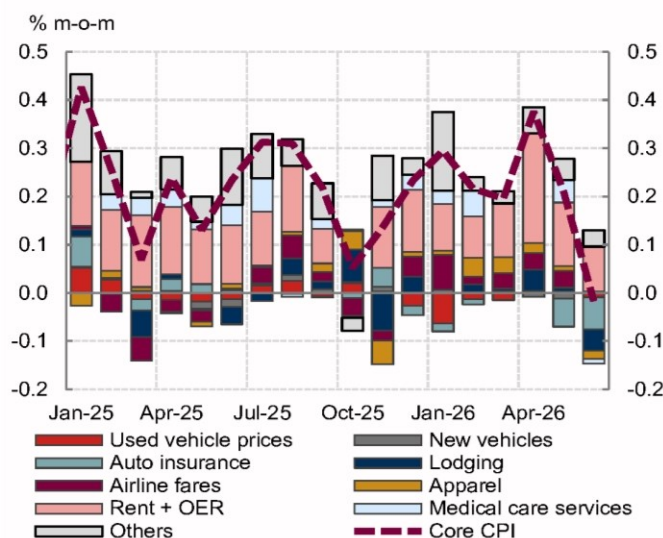
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June CPI and PPI data point to sharp moderation in core PCE

On net, *inflation data came in softer* than we expected. We lowered our June core PCE inflation forecast to 0.175% m-o-m from our *pre CPI estimate of 0.271%*, consistent with an annualized pace of roughly 2%.

Fig. 1: Core CPI inflation surprised to the downside in June

Decomposition of m-o-m core CPI inflation

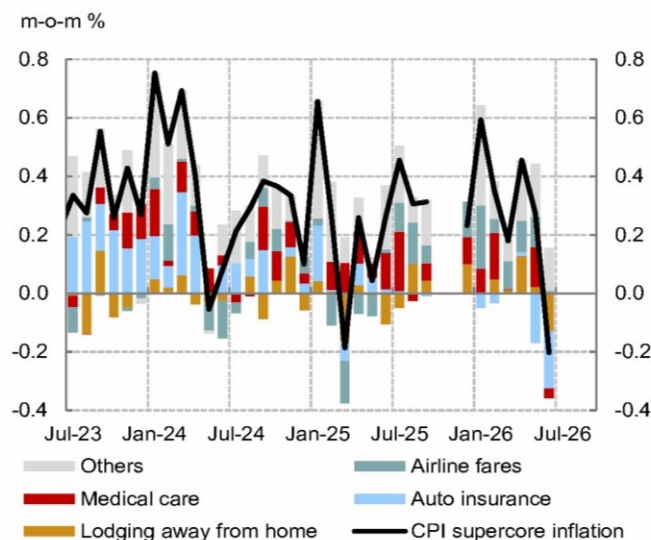


Note: For CPI components which are not available in October 2025, we assume no inflation on a not-seasonally adjusted basis for survey-based components, but seasonal adjustment is applied.

Source: BLS, Haver, Nomura

Fig. 2: Supercore CPI inflation dropped sharply in June

Decomposition of monthly CPI supercore inflation



Note:

Source: BLS, Haver, Nomura

Core CPI surprised to the downside, falling 0.017% m-o-m in June (Nomura: 0.215%; Consensus: 0.2%) after rising 0.208% in May, marking the first monthly decline since May 2020 (Fig. 1). The downside surprise was concentrated in services, with supercore inflation turning negative for the first time since March 2025 (Fig. 2). Several volatile categories, such as auto insurance, lodging away from home, and airfares weakened sharply, suggesting temporary factors amplified the softness. The decline in hotel prices likely reflected payback after World Cup-related demand boosted prices in prior months.

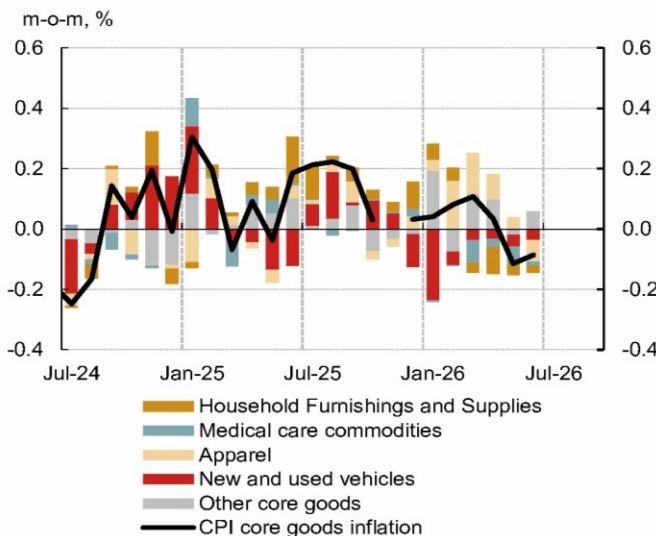
Core goods inflation remained modestly negative (Fig. 3), indicating AI-driven price

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pressures in consumer electronics remained contained despite semiconductor shortages. Several tariff-sensitive categories, including household appliances and footwear, declined (Fig. 4), while medical care goods fell for the sixth consecutive month.

Fig. 3: CPI core goods inflation remained negative as expected

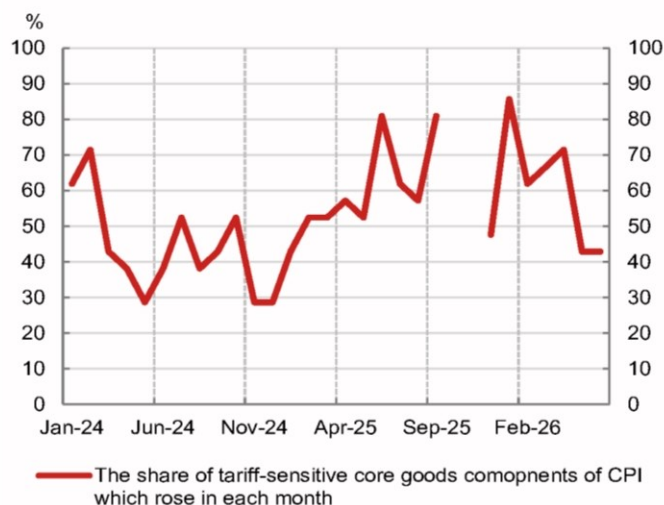
Decomposition of m-o-m core CPI goods inflation



Source: BLS, Haver, Nomura

Fig. 4: More than half of tariff-sensitive CPI components declined in June

The share of tariff-sensitive core goods components which increased in each month



Note: This figure shows the share of CPI components increasing in each month among 21 most tariff-sensitive components such as new vehicles, luggage, appliances, footwear, clothing and musical instruments.

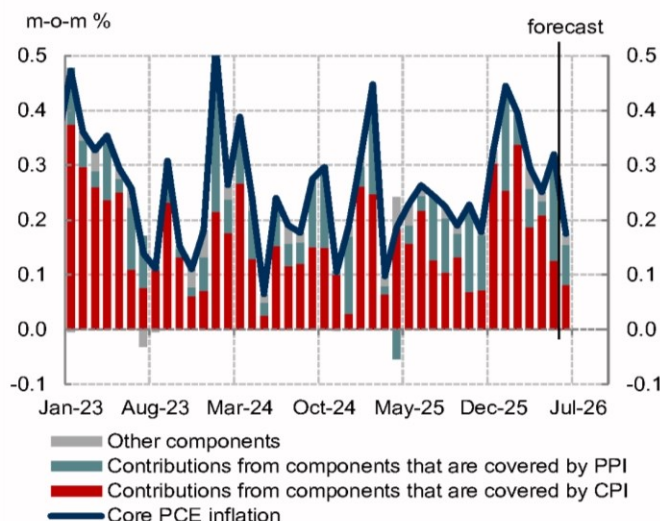
Source: BLS, Haver, Nomura

PPI data were mixed. Financial services inflation surprised to the downside, while healthcare and transportation services were firmer than expected. Overall, the net impact on our core PCE forecast was limited.

Looking ahead, we expect easing tariff effects and residual seasonality to keep core PCE inflation on a gradual disinflationary path (Fig. 5 & 6). We continue to expect y-o-y core PCE inflation to moderate to 3.2% by year-end under the current methodology (*planned methodological changes* could lower it further to around 3.0%). A 0.2% monthly core PCE print would represent further progress toward the Fed's inflation objective and should reduce the likelihood of rate hikes in the near term.

Fig. 5: Core PCE inflation likely moderated sharply to 0.175% m-o-m in June

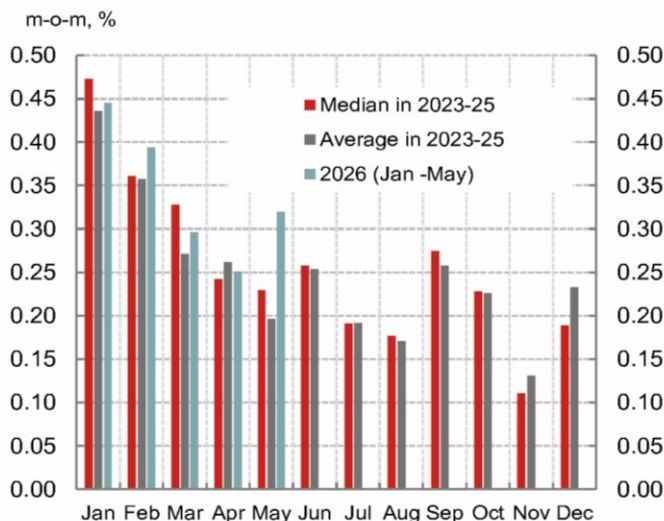
Decomposition of m-o-m core PCE inflation by data source



Source: BLS, BEA, Haver, Nomura

Fig. 6: M-o-M core PCE inflation tends to be weighed down by negative residual seasonality in the second half of the year

The median and average of m-o-m core PCE inflation by month over the past three years vs. 2026



Source: BEA, Haver, Nomura

Fedspeak divided but point to a near-term hold

Comments from policymakers this week suggest most officials are comfortable holding rates steady in the near term.

Chair Warsh did not comment on the near-term policy outlook in his first Humphey Hawkins testimony, but his remarks highlighted his dovish bias. Chair Warsh reiterated that AI should be disinflationary over the medium term and argued that AI-related capex would generate only a one-time price shock. He continued to highlight optimism about supply-side expansion and its impact on inflation. Warsh also stepped back from relying on the trimmed-mean inflation measure and suggested that the Fed's data task force would consider alternative measures, including private sector price data.

Warsh reiterated his preference for a smaller balance sheet. He continued to hint that this might lead to an easier rate policy. He argued that officials should monitor monetary aggregates and suggested that money supply measures might have helped identify inflation risks in 2021. Warsh further argued that balance sheet decisions should remain an FOMC policy matter and be communicated "well in advance," rather than treated as a technical function delegated to the NY Fed.

Other policymakers, such as NY Fed President Williams, Governor Cook, and Vice Chair Jefferson, appeared comfortable with a wait-and-see approach. Speaking before the June CPI report, Governor Waller seemed to be cautious about inflation risks, and mentioned that policy decisions should be based on incoming inflation data. We think the June CPI and PPI reports are likely to convince him to remain on hold at the July meeting. Most centrist officials appear comfortable remaining on hold as they expect sequential disinflation going ahead.

By contrast, several officials remained hawkish. Dallas Fed President Logan argued that AI-related demand is "already here" and adding to inflationary pressure. KC Fed President Schmid said his focus "remains on inflation in setting the correct course of policy," while Cleveland Fed President Hammack saw no conflict between the Fed's mandates and argued that further action may be needed to curb inflation.

Regarding future work by the task forces, Fedspeak suggested some disagreement among the FOMC participants. Waller proposed some modifications to the dot plot, but saw the median dot as a useful benchmark to discuss policy stance. Schmid argued that releasing economic outlook is a good communication practice. Also, Schmid called for an inclusion of food components into core inflation, while Warsh indicated that the task force on data sources would discuss how to gauge the inflation trend.

Growth data remain constructive

Growth data continued to point to resilient economic activity. Retail sales rose 0.2% m-o-m in June, while prior months were revised higher. Excluding gasoline, spending remained firm, and based on our estimate of the retail deflator, real retail sales rose 1.3% m-o-m, lifting the three-month average to its strongest pace since April 2025.

The July Beige Book painted a similar picture, with consumer spending remaining resilient. Notably, there were fewer references to divergence between high- and low-income households than in previous reports. Overall, the data suggest consumption has remained robust despite headwinds from the Iran conflict. We have revised up our Q2 GDP tracking estimate to 2.9% q-o-q from **2.3% last week**. Our estimate for real final sales to private domestic purchasers stands at 3.4%, up from 2.9% previously.

Data Preview

The week ahead

We expect the pace of new home sales rose in June, while survey data likely pointed to robust activity in July.

Jobless claims (Thursday): Both initial and continuing claims fell this week. Overall, claims data have trended lower and remained subdued lately, pointing to few layoffs and a resilient labor market.

S&P PMIs (Friday): The preliminary print of the S&P manufacturing PMI likely picked up in July. Regional surveys released thus far suggest activity in the manufacturing sector has continued to expand at a solid pace, and demand indicators have improved. Price indices likely remained elevated.

The preliminary print of the S&P services PMI likely remained in expansionary territory. The NY Fed services survey for July pointed to a rebound in activity. We expect the employment index returned to expansionary territory, in line with other surveys.

New home sales (Friday): We expect the pace of new home sales edged up to 600k in June from 580k in May. New home sales fell sharply in the last two months, likely due to headwinds from Iran war-related uncertainty and elevated mortgage rates. We expect some of this negative impact reversed in June.

Fig. 7: Forecasts for economic indicators released during the week of 20 July

Monday 20 July		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
No key indicators will be released								
Tuesday 21 July								
No key indicators will be released								
Wednesday 22 July								
7.00	Mortgage applications	% w-o-w	22-May	-4.4	1.7	-2.3	n.a.	n.a.
13.00	20-yr Bond auction	\$bn					13	
Thursday 23 July								
8.30	Initial jobless claims	000s	18-Jul	217	216	208	n.a.	n.a.
8.30	Continuing jobless claims	000s	11-Jul	1806	1821	1805	n.a.	n.a.
13.00	10-yr TIPS auction	\$bn					21	
Friday 24 July								
9.45	S&P manufacturing PMI	Index	Jul-Pre	54.5	55.1	53.9	n.a.	n.a.
9.45	S&P services PMI	Index	Jul-Pre	51.0	50.7	51.2	n.a.	n.a.
10.00	New home sales	000s saar	Jun	664	626	580	600	600
10.00	New home sales	% m-o-m	Jun	5.4	-5.7	-7.3	3.4	n.a.

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.
Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the *Fed to stay on hold indefinitely* (with risks skewed towards hikes) due to persistent price pressures, stable labor markets and waning political pressure.

Economic activity: Growth has remained robust lately, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Despite higher energy prices stemming from the Iran war, consumption has held up, partly due to higher tax refunds and strong payroll income growth. NFPs have been volatile, but an array of indicators point to stabilization and tentative signs of reacceleration in the labor market. While the recent decline in the unemployment rate was due to a one-off factor, we expect the unemployment rate to eventually edge lower to 4.1% by year-end. The US economy remains relatively insulated from *the crude oil price shock due to the Iran war*, owing to the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and risks appear skewed to the upside. We forecast *Q4 2026 core PCE* inflation of 3.3% y-o-y, but the *BEA's planned methodological changes to certain PCE price components* could reduce core PCE inflation by about 20bp to 3.1% y-o-y in Q4 2026. Wage growth is moderating and tariff-related price pressures are abating, but new AI-related price pressures from robust demand and supply shortages could push up goods inflation. Overall, we expect core PCE inflation to peak in coming months on lower oil prices, residual seasonality and moderating wage growth. We expect rent disinflation to continue, albeit gradually.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease, but recent elevated inflation readings and hawkish Fed speak suggest he may not be able to convince the majority to support cuts. In addition, he is likely to encourage the committee to keep policy rates steady until *recently announced task forces* make recommendations on different aspects of data and monetary policy. While near-term hikes appear unlikely, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that it may end up "behind the curve" and need to hike quickly to re-establish credibility. The balance of risks tilts towards tightening. On tariffs, wider Section 122 exemptions, lower tariff rates and a focus on affordability suggest *limited further escalation* of US trade policy. We don't expect substantial economic stimulus from another reconciliation by Republicans before mid-terms.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and a worsening of the fiscal outlook. Increased political pressures on FOMC participants could undermine the Fed's credibility and cause sharp market reactions. An AI bust could lead to material corrections in asset valuations and reduced business investment. A continued shortage of memory chips and supply-chain disruptions due to a protracted Iran war could lead to a second round

Fig. 8: United States: Details of the forecast

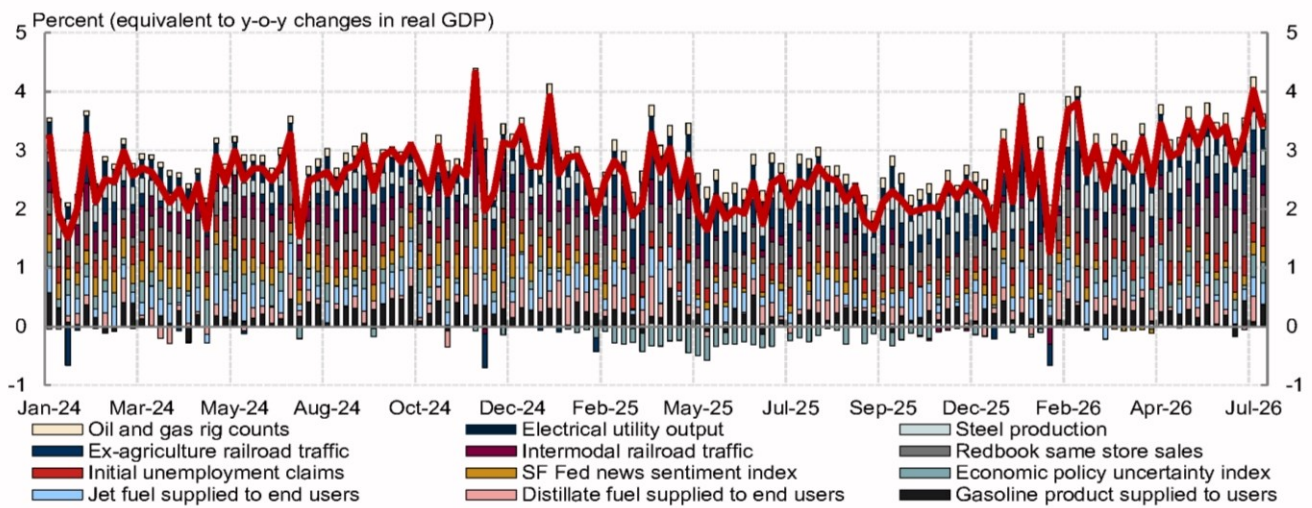
%			1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
															2025	2026	2027	2025	2026	2027
	q-o-q																			
Real GDP	(%, a.r.)		-0.6	3.8	4.4	0.5	2.1	2.7	2.1	1.9	1.9	1.9	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
	(%)		-0.2	0.9	1.1	0.1	0.5	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)		0.6	2.5	3.5	1.9	0.5	1.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	1.7	1.7	2.1	1.5	1.8
Nonresidential fixed invest	(%, a.r.)		9.5	7.3	3.2	2.4	10.6	9.9	4.5	3.6	3.4	3.1	2.5	2.5	4.1	6.5	3.7	5.6	7.1	5.3
Residential fixed invest	(%, a.r.)		-1.0	-5.1	-7.1	-1.7	-7.8	2.5	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.5	2.8	-3.8	0.1	2.9
Government expenditure	(%, a.r.)		-1.0	-0.1	2.2	-5.6	4.4	3.2	0.9	0.9	0.9	0.9	0.9	0.9	1.1	1.0	1.1	-1.2	2.4	1.5
Exports	(%, a.r.)		0.2	-1.8	9.6	-3.2	10.9	6.3	2.3	2.3	2.3	2.3	2.2	2.1	1.6	4.7	2.5	1.1	5.4	3.3
Imports	(%, a.r.)		38.0	-29.3	-4.4	-1.0	11.8	15.2	3.5	3.3	2.8	2.5	2.3	2.0	2.7	3.2	3.5	-1.9	8.3	6.1
Contributions to GDP:																				
Final sales	(pp., a.r.)		-3.2	7.3	4.5	0.3	1.9	1.9	2.0	1.8	1.8	1.8	1.6	1.6	2.2	2.3	1.8	2.1	1.9	1.7
Net trade	(pp., a.r.)		-4.7	4.8	1.6	-0.2	-0.4	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	-0.2	0.1	-0.2	0.4	-0.5	-0.1
Inventories	(pp., a.r.)		2.6	-3.4	-0.1	0.1	0.2	0.8	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	0.0	0.2	-0.1	0.3	0.1
	As noted																			
Unemployment rate	(%)		4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls	(000s)		20	34	23	-39	73	111	90	120	100	90	90	90	10	99	90			
Housing starts	(000s, a.r.)		1397	1356	1347	1323	1418	1347	1430	1420	1400	1390	1390	1380	1356	1404	1390			
Consumer prices	(%, y-o-y)		2.7	2.5	2.9	2.7	2.7	3.8	3.3	3.4	2.9	1.8	2.0	2.0	2.7	3.3	2.2			
Core CPI	(%, y-o-y)		3.1	2.8	3.1	2.7	2.5	2.7	2.4	2.6	2.6	2.4	2.5	2.4	2.9	2.6	2.5			
PCE Deflator	(%, y-o-y)		2.6	2.4	2.7	2.8	3.1	3.9	3.7	3.5	3.0	2.1	2.2	2.1	2.6	3.5	2.4			
Core PCE	(%, y-o-y)		2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.2	2.8	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget	(% GDP)														-5.8	-6.4	-6.4			
Current account balance	(% GDP)														-3.7	-3.4	-3.2			
Fed securities portfolio	(\$trn)		6.32	6.24	6.19	6.15	6.27	6.34	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint	(%)		4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
TSY 2-year note	(%)		3.89	3.72	3.60	3.47	3.79	4.14	4.15	4.10	4.10	4.05	4.00	3.95	3.47	4.10	3.95			
TSY 5-year note	(%)		3.96	3.79	3.74	3.73	3.92	4.19	4.30	4.25	4.25	4.25	4.20	4.20	3.73	4.25	4.20			
TSY 10-year note	(%)		4.23	4.24	4.16	4.18	4.30	4.44	4.60	4.60	4.60	4.60	4.55	4.50	4.18	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 17 July 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 9: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

Economic Insights - US: Assessing labor market impact of AI

First Insights - US: June PPI data suggest a benign reading for core PCE inflation

Economic Insights - US: Monthly Inflation Monitor

Fig. 10: Economic Data Calendar

	Mon 20 July	Tue 21 July	Wed 22 July	Thu 23 July	Fri 24 July
North America	US No key indicators released	US No key indicators released	US No key indicators released	US Initial claims (18-Jul) 000s 208, n.a., n.a.	US S&P manufacturing PMI (Jul-p) Index 53.9, n.a., n.a.
	CAN CPI Core-Trim (Jun) % y-o-y 2.0, n.a., n.a.				US S&P services PMI (Jul-p) Index 51.2, n.a., n.a.
					US New home sales (Jun) % m-o-m -7.3, 3.4, n.a.
Europe (ex-UK)	EUR Construct. output (May) % m-o-m 0.6, n.a., n.a.	ECB Bank Lending Survey		ECB Depo Rate % 2.25, 2.25, n.a.	EUR PMI Composite (Jul P) Index 50.0, 48.4, n.a.
	GER Producer prices (Jun) % m-o-m 0.3, n.a., n.a.	GER ZEW Expectations (Jul) Index 10.5, 0.5, n.a.		EUR Consumer conf. (Jul P) Index -17.7, -17.4, n.a.	GER PMI Composite (Jul P) Index 49.5, 48.5, n.a.
		GER ZEW Current (Jul) Index -81.0, -81.0, n.a.		FRA Insee Biz confidence (Jul) Index 94.0, 94.0, n.a.	FRA PMI Composite (Jul P) Index 47.2, 46.5, n.a.
United Kingdom	Rightmove House Px (Jul) % y-o-y -0.5, n.a., n.a.	Avg. Weekly Earnings 3Mths (May) % y-o-y 4.4, 4.6, n.a.	CPI (Jun) % y-o-y 2.8, 2.5, n.a.	CBI Trends Orders (Jul) Index -45, n.a., n.a.	DMP 3M Output Px Expect. (Jul) % y-o-y 4.1, n.a., n.a.
		Unemployment Rate 3Mths (May) % 4.9, 5.0, n.a.	Core CPI (Jun) % y-o-y 2.6, 2.3, n.a.	CBI Biz Optimism (Jul) Index -65, n.a., n.a.	PMI Composite (Jul P) Index 49.3, 48.0, n.a.
		Employ. Chg 3Mths (May) k 100, 125, n.a.	Services CPI (Jun) % y-o-y 3.7, 3.4, n.a.		GfK Consumer Conf. (Jul) Index -23, -22, n.a.
CEEMEA	Poland Average Gross Wages (Jun) %y-o-y 5.8, n.a., 5.6	Hungary Rate Decision % 6.00, n.a., 5.75	Türkiye Real sector confidence (Jul) Index 102, n.a, n.a.	Türkiye Consumer Confidence (July) Index 87.9, n.a., n.a.	Hungary Unemployment rate (Jun) % 4.3, n.a., 4.3
	Poland PPI (Jun) %y-o-y 2.4, n.a., 1.6		Türkiye Capacity Utilization (Jul) % 74.5, n.a, n.a.	Poland Unemployment rate (Jun) % 5.9, n.a., 5.8	
			Poland Retail sales (Jun) %y-o-y 3.0, n.a., n.a.	Türkiye Rate Decision % 37.00, 37.00, 37.00	
Japan			S. Africa CPI (Jun) % y-o-y 4.5, n.a., 4.7	S. Africa Rate Decision % 7.00, n.a., 7.25	
			S. Africa CPI Core (Jun) % y-o-y 3.8, n.a., 3.9		
	Holiday -Markets closed		Exports (Jun) % y-o-y 16.8, 20.2, n.a.		All-Japan Core CPI (Jun) % y-o-y 1.4, 1.6, n.a.
Asia ex-Japan	Malaysia Exports (Jun) % y-o-y 45.3, 51.7, 46.8	New Zealand CPI (Q2) % y-o-y 3.1, 3.9, 4.0	Indonesia BI rate (Jul) % 5.75, 5.75, 5.75	Philippines Fiscal balance (Jun) PHP bn -198.5, -165.1, n.a.	PMI Manufacturing (Jul) Index 54.8, n.a., n.a.
		S. Korea Exports 20 days (Jul) % y-o-y 60.4, 64.6, n.a.		S. Korea Advance Real GDP estimates (Q2) % y-o-y 3.8, 3.2, 3.5	
		Hong Kong CPI (Jun) % y-o-y 2.0, 2.0, n.a.		Singapore CPI (Jun) % y-o-y 1.8, 2.1, 2.0	
				Singapore Core CPI (Jun) % y-o-y 1.4, 1.8, 1.6	
				Taiwan Industrial production (Jun) % y-o-y 11.8, 17.3, 17.3	

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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